NIKE, Inc.: Five-Year Financial Forecast

Three-statement model: FY2024 to FY2026 actual, FY2027 to FY2031 forecast (years ending 31 May). $ millions.

Purpose	Forecast Nike's revenue, profit and cash flow for five years under base, upside and downside scenarios.
Selected scenario	**Base case**
Revenue	Built up by region (North America, EMEA, Greater China, APLA, Converse), each with its own growth rate per scenario.
Costs	Gross margin by scenario; marketing (demand creation) and overhead as a % of revenue.
Statements	Linked income statement, balance sheet and cash flow. Cash is the balancing item; the balance sheet balances every year.
Sheets	
Summary	Key outputs and charts for the selected scenario
Assumptions	Every driver, with base / upside / downside tables. Change cell B6 to switch scenario.
Revenue Build	Revenue by region, growth and mix
Income Statement / Balance Sheet / Cash Flow	The three linked statements
Scenarios	All three scenarios side by side
Checks	Balance sheet, cash and source checks
Sources	NIKE, Inc. Form 10-K filings (FY2024 to FY2026) and fiscal 2026 fourth quarter results release (revenue by region).
Note	The forecast assumptions are my own judgement for this exercise, not company guidance.
Colour key	Blue = input, black = formula, green = link to another sheet, yellow = key assumption, grey = actual (history)
Checks status	**OK**

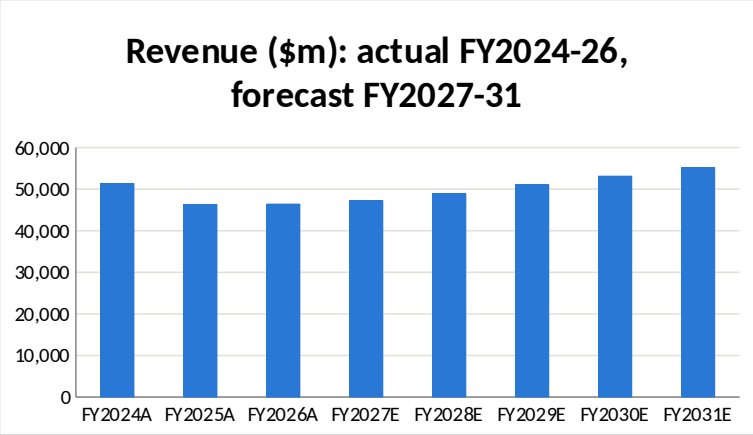
Nike Five-Year Forecast: Summary

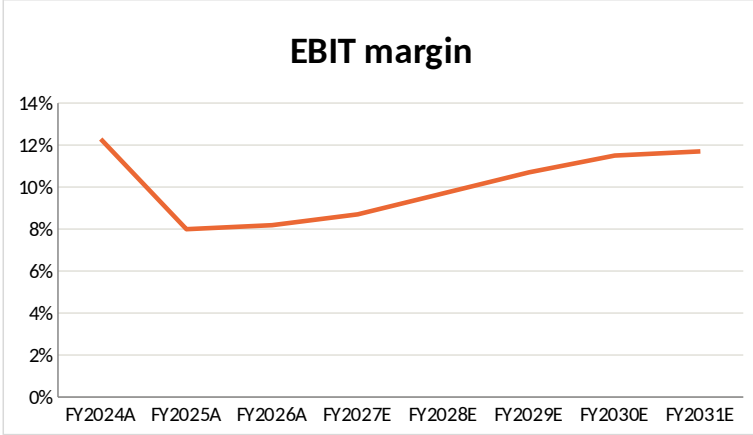
Selected scenario shown. Change the scenario on the Assumptions sheet (cell B6).

Scenario: Base case

$ millions unless stated	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue	51,362	46,309	46,398	47,185	48,859	51,026	53,113	55,145
Revenue growth		(9.8%)	0.2%	1.7%	3.5%	4.4%	4.1%	3.8%
Gross margin	44.6%	42.7%	42.9%	43.0%	43.5%	44.0%	44.5%	44.5%
Operating income (EBIT)	6,311	3,702	3,797	4,105	4,739	5,460	6,108	6,452
EBIT margin	12.3%	8.0%	8.2%	8.7%	9.7%	10.7%	11.5%	11.7%
Net income	5,700	3,219	3,108	3,324	3,875	4,466	4,999	5,276
Diluted EPS ($)	$3.73	$2.16	$2.10	$2.25	$2.66	$3.12	$3.57	$3.88
Cash from operations	7,429	3,698	2,868	5,309	5,652	6,291	6,561	6,796
Free cash flow	6,617	3,268	2,184	4,554	4,870	5,475	5,711	5,914
Cash returned to shareholders	6,419	5,285	2,553	3,518	4,611	5,194	5,765	6,323
Cash and short-term investments	11,582	9,151	9,027	8,063	8,322	8,603	8,549	8,140
Total debt	8,909	7,966	7,942	5,942	5,942	5,942	5,942	5,942

Checks status **OK**





Assumptions

Blue = input you can change. Yellow = key assumption. Forecast years only; history shown grey for reference.

$ millions unless stated	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Scenario (1 = Base, 2 = Upside, 3 = Downside)		1 Base case						
Revenue growth by region: selected scenario								
North America				**4.0%**	**5.0%**	**5.0%**	**4.0%**	**4.0%**
Europe, Middle East & Africa				**2.0%**	**3.0%**	**4.0%**	**4.0%**	**3.0%**
Greater China				**(5.0%)**	**-**	**3.0%**	**4.0%**	**4.0%**
Asia Pacific & Latin America				**2.0%**	**4.0%**	**5.0%**	**5.0%**	**5.0%**
Converse				**(10.0%)**	**(3.0%)**	**2.0%**	**2.0%**	**2.0%**
Revenue growth by region: Base case								
North America				4.0%	5.0%	5.0%	4.0%	4.0%
Europe, Middle East & Africa				2.0%	3.0%	4.0%	4.0%	3.0%
Greater China				(5.0%)	-	3.0%	4.0%	4.0%
Asia Pacific & Latin America				2.0%	4.0%	5.0%	5.0%	5.0%
Converse				(10.0%)	(3.0%)	2.0%	2.0%	2.0%
Revenue growth by region: Upside case								
North America				6.0%	7.0%	7.0%	6.0%	5.0%
Europe, Middle East & Africa				4.0%	5.0%	6.0%	5.0%	4.0%
Greater China				-	5.0%	6.0%	6.0%	5.0%
Asia Pacific & Latin America				4.0%	6.0%	7.0%	7.0%	6.0%
Converse				(5.0%)	2.0%	4.0%	4.0%	3.0%
Revenue growth by region: Downside case								
North America				1.0%	2.0%	2.0%	2.0%	2.0%
Europe, Middle East & Africa				(2.0%)	-	1.0%	2.0%	2.0%
Greater China				(12.0%)	(6.0%)	(2.0%)	-	1.0%
Asia Pacific & Latin America				(1.0%)	1.0%	2.0%	3.0%	3.0%
Converse				(18.0%)	(8.0%)	(3.0%)	-	-
Global Brand Divisions and Corporate ($m, held flat)				51	51	51	51	51
Margins and costs (% of revenue)								
Gross margin: base				43.0%	43.5%	44.0%	44.5%	44.5%
Gross margin: upside				43.5%	44.5%	45.5%	46.0%	46.0%
Gross margin: downside				42.5%	42.5%	42.8%	43.0%	43.0%
Gross margin: selected scenario				**43.0%**	**43.5%**	**44.0%**	**44.5%**	**44.5%**
Demand creation (marketing)				10.0%	9.8%	9.6%	9.5%	9.5%
Operating overhead				24.3%	24.0%	23.7%	23.5%	23.3%
Depreciation and amortization				1.6%	1.6%	1.6%	1.6%	1.6%
Stock-based compensation (non-cash, inside overhead)				1.5%	1.5%	1.5%	1.5%	1.5%
Capital expenditure				1.6%	1.6%	1.6%	1.6%	1.6%
Tax and interest								
Effective tax rate				19.0%	19.0%	19.0%	19.0%	19.0%
Interest rate on debt				4.0%	4.0%	4.0%	4.0%	4.0%
Interest earned on cash and investments				3.5%	3.5%	3.5%	3.5%	3.5%
Working capital								
Receivable days (on revenue)				44.0	42.0	40.0	40.0	40.0
Inventory days (on cost of sales)				100.0	98.0	96.0	95.0	95.0
Payable days (on cost of sales)				50.0	50.0	50.0	50.0	50.0
Prepaid and other current assets (% of revenue)				4.6%	4.6%	4.6%	4.6%	4.6%
Accrued liabilities (% of revenue)				13.1%	13.1%	13.1%	13.1%	13.1%
Capital allocation								
Debt repaid ($m)				2,000	-	-	-	-
Dividend per share growth				5.0%	5.0%	5.0%	5.0%	5.0%
Share buybacks ($m)				1,000	2,000	2,500	3,000	3,500
Average buyback share price ($)				$75.00	$75.00	$75.00	$75.00	$75.00
New shares issued to employees (m)				8.0	8.0	8.0	8.0	8.0

Revenue Build by Region

FY2025 and FY2026 actual revenue by region from Nike's fiscal 2026 results; forecast = prior year x (1 + growth).

$ millions unless stated	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue ($m)								
North America		19,572	20,511	21,331	22,398	23,518	24,459	25,437
Europe, Middle East & Africa		12,257	12,572	12,823	13,208	13,736	14,286	14,715
Greater China		6,586	5,847	5,555	5,555	5,721	5,950	6,188
Asia Pacific & Latin America		6,251	6,243	6,368	6,623	6,954	7,301	7,666
Converse		1,692	1,174	1,057	1,025	1,045	1,066	1,088
Global Brand Divisions and Corporate		(49)	51	51	51	51	51	51
Total revenue	51,362	**46,309**	**46,398**	**47,185**	**48,859**	**51,026**	**53,113**	**55,145**
Growth								
North America			4.8%	4.0%	5.0%	5.0%	4.0%	4.0%
Europe, Middle East & Africa			2.6%	2.0%	3.0%	4.0%	4.0%	3.0%
Greater China			(11.2%)	(5.0%)	-	3.0%	4.0%	4.0%
Asia Pacific & Latin America			(0.1%)	2.0%	4.0%	5.0%	5.0%	5.0%
Converse			(30.6%)	(10.0%)	(3.0%)	2.0%	2.0%	2.0%
Total revenue growth		**(9.8%)**	**0.2%**	**1.7%**	**3.5%**	**4.4%**	**4.1%**	**3.8%**
Revenue mix								
North America		42.3%	44.2%	45.2%	45.8%	46.1%	46.0%	46.1%
Europe, Middle East & Africa		26.5%	27.1%	27.2%	27.0%	26.9%	26.9%	26.7%
Greater China		14.2%	12.6%	11.8%	11.4%	11.2%	11.2%	11.2%
Asia Pacific & Latin America		13.5%	13.5%	13.5%	13.6%	13.6%	13.7%	13.9%
Converse		3.7%	2.5%	2.2%	2.1%	2.0%	2.0%	2.0%

Income Statement

FY2024 to FY2026 as reported (10-K). FY2027 to FY2031 forecast from the Assumptions sheet.

$ millions unless stated	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	
Revenues	51,362	46,309	46,398	47,185	48,859	51,026	53,113	55,145	
Cost of sales	28,475	26,519	26,487	26,895	27,605	28,574	29,478	30,605	
Gross profit	**22,887**	**19,790**	**19,911**	**20,290**	**21,254**	**22,451**	**23,635**	**24,539**	
Demand creation expense	4,285	4,689	4,754	4,718	4,788	4,898	5,046	5,239	
Operating overhead expense	12,291	11,399	11,360	11,466	11,726	12,093	12,482	12,849	
Operating income (EBIT)	**6,311**	**3,702**	**3,797**	**4,105**	**4,739**	**5,460**	**6,108**	**6,452**	
Interest expense (income), net	(161)	(107)	(50)	2	(45)	(54)	(63)	(62)	*Forecast: opening debt x rate less opening cash x rate (avoids a circular reference)*
Other (income) expense, net	(228)	(76)	(53)	-	-	-	-	-	*Forecast: assumed nil*
Income before income taxes	**6,700**	**3,885**	**3,900**	**4,103**	**4,784**	**5,513**	**6,171**	**6,513**	
Income tax expense	1,000	666	792	780	909	1,048	1,173	1,238	
Net income	**5,700**	**3,219**	**3,108**	**3,324**	**3,875**	**4,466**	**4,999**	**5,276**	
Diluted shares (m)	1,529.7	1,487.6	1,481.0	1,475.7	1,457.0	1,431.7	1,399.7	1,361.0	
Diluted EPS ($)	**$3.73**	**$2.16**	**$2.10**	**$2.25**	**$2.66**	**$3.12**	**$3.57**	**$3.88**	
Dividends per share ($)	$1.42	$1.55	$1.63	$1.71	$1.79	$1.88	$1.98	$2.07	
Margins									
Gross margin	44.6%	42.7%	42.9%	43.0%	43.5%	44.0%	44.5%	44.5%	
Demand creation % of revenue	8.3%	10.1%	10.2%	10.0%	9.8%	9.6%	9.5%	9.5%	
Operating overhead % of revenue	23.9%	24.6%	24.5%	24.3%	24.0%	23.7%	23.5%	23.3%	
EBIT margin	12.3%	8.0%	8.2%	8.7%	9.7%	10.7%	11.5%	11.7%	
Net margin	11.1%	7.0%	6.7%	7.0%	7.9%	8.8%	9.4%	9.6%	
Effective tax rate	14.9%	17.1%	20.3%	19.0%	19.0%	19.0%	19.0%	19.0%	

Balance Sheet

Balances at 31 May. History from the 10-K (intangibles and goodwill combined; notes payable in short-term debt). Cash is the balancing figure from the cash flow.

$ millions unless stated	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Assets								
Cash and equivalents	9,860	7,464	7,563	6,599	6,858	7,139	7,085	6,676
Short-term investments	1,722	1,687	1,464	1,464	1,464	1,464	1,464	1,464
Accounts receivable, net	4,427	4,717	5,931	5,688	5,622	5,592	5,821	6,043
Inventories	7,519	7,489	7,501	7,369	7,412	7,515	7,672	7,966
Prepaid expenses and other current assets	1,854	2,005	2,144	2,171	2,248	2,347	2,443	2,537
Total current assets	**25,382**	**23,362**	**24,603**	**23,290**	**23,603**	**24,058**	**24,485**	**24,686**
Property, plant and equipment, net	5,000	4,828	4,796	4,796	4,796	4,796	4,796	4,796
Operating lease right-of-use assets	2,718	2,712	2,838	2,838	2,838	2,838	2,838	2,838
Intangible assets and goodwill	499	499	499	499	499	499	499	499
Deferred income taxes and other assets	4,511	5,178	5,674	5,674	5,674	5,674	5,674	5,674
Total assets	**38,110**	**36,579**	**38,410**	**37,097**	**37,410**	**37,865**	**38,292**	**38,493**
Liabilities								
Short-term debt and current portion of long-term debt	1,006	5	2,000	-	-	-	-	-
Accounts payable	2,851	3,479	3,600	3,684	3,782	3,914	4,038	4,193
Accrued liabilities	5,725	5,911	6,092	6,181	6,401	6,684	6,958	7,224
Income taxes payable	534	669	377	377	377	377	377	377
Current operating lease liabilities	477	502	478	478	478	478	478	478
Total current liabilities	**10,593**	**10,566**	**12,547**	**10,721**	**11,037**	**11,454**	**11,851**	**12,271**
Long-term debt	7,903	7,961	5,942	5,942	5,942	5,942	5,942	5,942
Operating lease liabilities	2,566	2,550	2,613	2,613	2,613	2,613	2,613	2,613
Deferred income taxes and other liabilities	2,618	2,289	2,443	2,443	2,443	2,443	2,443	2,443
Total liabilities	**23,680**	**23,366**	**23,545**	**21,719**	**22,035**	**22,452**	**22,849**	**23,269**
Shareholders' equity								
Common stock and capital in excess of stated value	13,412	14,198	15,161	15,869	16,602	17,367	18,164	18,991
Accumulated other comprehensive income (loss)	53	(258)	(141)	(141)	(141)	(141)	(141)	(141)
Retained earnings (deficit)	965	(727)	(155)	(350)	(1,085)	(1,813)	(2,579)	(3,626)
Total shareholders' equity	**14,430**	**13,213**	**14,865**	**15,378**	**15,375**	**15,413**	**15,444**	**15,223**
Total liabilities and shareholders' equity	**38,110**	**36,579**	**38,410**	**37,097**	**37,410**	**37,865**	**38,292**	**38,493**
Check: assets - liabilities - equity (should be 0)	-	-	-	-	-	-	-	-

Cash Flow Statement

History from the 10-K (smaller items grouped). Forecast built from the income statement and balance sheet movements.

$ millions unless stated	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Operating activities								
Net income	5,700	3,219	3,108	3,324	3,875	4,466	4,999	5,276
Depreciation and amortization	796	775	747	755	782	816	850	882
Stock-based compensation	804	709	715	708	733	765	797	827
(Increase) decrease in receivables				243	66	30	(229)	(223)
(Increase) decrease in inventories				132	(43)	(104)	(157)	(293)
(Increase) decrease in prepaid and other				(27)	(77)	(100)	(96)	(93)
Increase (decrease) in payables				84	97	133	124	154
Increase (decrease) in accrued liabilities				89	219	284	273	266
Working capital and other items (history, total)	129	(1,005)	(1,702)	-	-	-	-	-
Cash provided by operations	**7,429**	**3,698**	**2,868**	**5,309**	**5,652**	**6,291**	**6,561**	**6,796**
Investing activities								
Additions to property, plant and equipment	(812)	(430)	(684)	(755)	(782)	(816)	(850)	(882)
Short-term investments and other	1,706	155	196	-	-	-	-	-
Cash used by investing activities	**894**	**(275)**	**(488)**	**(755)**	**(782)**	**(816)**	**(850)**	**(882)**
Financing activities								
Debt repaid	-	(1,001)	-	(2,000)	-	-	-	-
Dividends paid	(2,169)	(2,300)	(2,407)	(2,518)	(2,611)	(2,694)	(2,765)	(2,823)
Share buybacks	(4,250)	(2,985)	(146)	(1,000)	(2,000)	(2,500)	(3,000)	(3,500)
Share issuance and other	531	466	261	-	-	-	-	-
Cash used by financing activities	**(5,888)**	**(5,820)**	**(2,292)**	**(5,518)**	**(4,611)**	**(5,194)**	**(5,765)**	**(6,323)**
Effect of exchange rates	(16)	1	11	-	-	-	-	-
Net change in cash	**2,419**	**(2,396)**	**99**	**(964)**	**259**	**281**	**(54)**	**(409)**
Cash at beginning of year	7,441	9,860	7,464	7,563	6,599	6,858	7,139	7,085
Cash at end of year	**9,860**	**7,464**	**7,563**	**6,599**	**6,858**	**7,139**	**7,085**	**6,676**
Free cash flow								
Free cash flow (operations less capex)	**6,617**	**3,268**	**2,184**	**4,554**	**4,870**	**5,475**	**5,711**	**5,914**
Cash returned to shareholders	6,419	5,285	2,553	3,518	4,611	5,194	5,765	6,323

Scenario Comparison

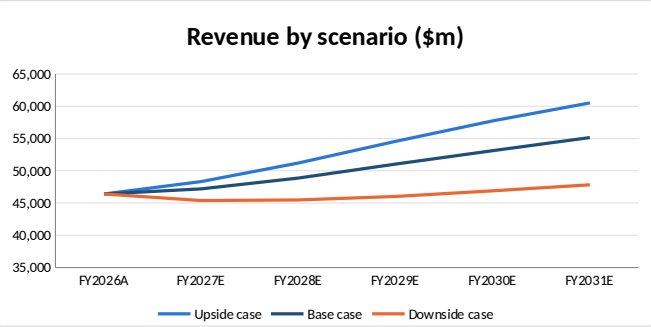
Revenue and operating income under each scenario, calculated in parallel (independent of the scenario selector).

$ millions unless stated	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	
Base case									
North America		19,572	20,511	21,331	22,398	23,518	24,459	25,437	
Europe, Middle East & Africa		12,257	12,572	12,823	13,208	13,736	14,286	14,715	
Greater China		6,586	5,847	5,555	5,555	5,721	5,950	6,188	
Asia Pacific & Latin America		6,251	6,243	6,368	6,623	6,954	7,301	7,666	
Converse		1,692	1,174	1,057	1,025	1,045	1,066	1,088	
Total revenue			46,398	**47,185**	**48,859**	**51,026**	**53,113**	**55,145**	Base case
Operating income (EBIT)			3,797	**4,105**	**4,739**	**5,460**	**6,108**	**6,452**	
EBIT margin			8.2%	8.7%	9.7%	10.7%	11.5%	11.7%	
Upside case									
North America		19,572	20,511	21,742	23,264	24,892	26,386	27,705	
Europe, Middle East & Africa		12,257	12,572	13,075	13,729	14,552	15,280	15,891	
Greater China		6,586	5,847	5,847	6,139	6,508	6,898	7,243	
Asia Pacific & Latin America		6,251	6,243	6,493	6,882	7,364	7,880	8,352	
Converse		1,692	1,174	1,115	1,138	1,183	1,230	1,267	
Total revenue			46,398	**48,323**	**51,202**	**54,550**	**57,725**	**60,510**	Upside case
Operating income (EBIT)			3,797	**4,446**	**5,479**	**6,655**	**7,504**	**7,987**	
EBIT margin			8.2%	9.2%	10.7%	12.2%	13.0%	13.2%	
Downside case									
North America		19,572	20,511	20,716	21,130	21,553	21,984	22,424	
Europe, Middle East & Africa		12,257	12,572	12,321	12,321	12,444	12,693	12,946	
Greater China		6,586	5,847	5,145	4,837	4,740	4,740	4,787	
Asia Pacific & Latin America		6,251	6,243	6,181	6,242	6,367	6,558	6,755	
Converse		1,692	1,174	963	886	859	859	859	
Total revenue			46,398	**45,376**	**45,467**	**46,014**	**46,885**	**47,823**	Downside case
Operating income (EBIT)			3,797	**3,721**	**3,956**	**4,371**	**4,688**	**4,878**	
EBIT margin			8.2%	8.2%	8.7%	9.5%	10.0%	10.2%	

Summary: FY2031

Scenario	FY2031 revenue	Revenue CAGR FY26-31	FY2031 EBIT	FY2031 EBIT margin
Base case	55,145	3.5%	6,452	11.7%
Upside case	60,510	5.5%	7,987	13.2%
Downside case	47,823	0.6%	4,878	10.2%

Chart data



Checks

All should be 0 (or OK).

$ millions unless stated	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Balance sheet balances	-	-	-	-	-	-	-	-
Cash flow closing cash = balance sheet cash	-	-	-	-	-	-	-	-
Revenue build = income statement revenue	-	-	-	-	-	-	-	-
Reported net income agrees (history)	-	-	-	-	-	-	-	-
Reported total assets agree (history)	-	-	-	-	-	-	-	-
Base case scenario sheet = model (when scenario 1 sele	-	-	-	-	-	-	-	-
Cash stays positive	OK	OK	OK	OK	OK	OK	OK	OK

Overall status **OK**